





YES, YOU CAN!

A FIVE-POINT
FORMULA TO
HELP YOU ACQUIRE
A MAJOR GIFT

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► WHEN MY WIFE AND I went on shlichus to Bergen County, New Jersey in 5737, Rabbi Moshe Herson, the head shliach of New Jersey, was kind enough to provide us with a full salary plus operating expenses for the first year. The following year, as I set out to raise money to cover our operating expenses, I realized that I had no idea what fundraising was all about. There were not many fundraising courses or seminars in those days, so when I saw an ad from Yeshiva University offering a course on fundraising, I immediately registered. Soon enough, I found myself sitting in a room with barely a minyan of people who had subscribed themselves to spending a few hours a week for the next few weeks learning how to raise money.

The lecturer opened his first lesson by exclaiming, “I love fundraising!” I remember thinking that either he was lying or I was so far from it. As it turned out, I was indeed so far from it. Today I join the lecturer in stating that I love fundraising, too.

I was reminded of this incident when I recently participated in a three-day seminar in Michigan, presented by philanthropy consultants Jerold Panas, Linzy & Partners, LLC. Most of the three days were focused on acquiring tools and strategies for obtaining a major gift.

After the three days were over, I again asked myself why we shluchim are so far from professional fundraising. Do any of us have a fundraising department or even a full-time fundraiser? How many of us have a staff member working specifically on obtaining wills? How about a research department? These are not bureaucratic items. Rather, when set up properly, they can produce a lot of money.

Although we in Chabad as a whole have made extraordinary progress over the last half a century and BH shluchim all over the world are raising money, and a lot of it, it seems that we still have a long way to go to reach the next level of professional fundraising. I have no doubt that with time we will b’ezeras Hashem get there.

In this article, I am happy to share with you some of what I learned during those three days.

WHAT ATTRACTS DONORS

Many people associate a major gift with a capital campaign: You need a very substantial sum of money in order to make your project happen and therefore you will solicit a major gift from one or more donors. However, while this is true, there is nothing inherent in a major gift to be associated with a capital campaign. In fact, major gifts can *and should* be obtained even without capital campaigns.

In order to better understand how this works, we will first take a look at what attracts donors to give a major gift toward a capital campaign.

1. TANGIBLE GOAL

2. URGENCY

3. ENVISIONED IMPACT

4. SCHEDULED CONCLUSION

5. YOUR PASSION

Let us analyze each of these items in more detail.

1. TANGIBLE GOAL



A capital campaign centers around a very clear desired outcome: Buy a piece of property and build on it. Purchase a building and do (major) renovations to make it fit your specific needs. Expand an existing building you already own. Burn a mortgage. All the above items are very focused and goal oriented. Most, if not all, of your potential donors can very much identify with these tangible goals and therefore would most likely be willing to partner in such a project with a substantial gift.

2. URGENCY



Typically, a capital campaign comes along with an urgency: You were made aware of a lot or building in the right location with the right zoning and the right price. Construction needs to be completed before the beginning of the school year. You have 60 or 90 days to come up with x amount of money for closing fees. Potential donors clearly see how their participation will make an immediate difference.

3. ENVISIONED IMPACT



Having and sharing your vision of how this project will significantly enhance your community makes your potential donors feel that their participation will create a powerful impact for many years to come.

4. SCHEDULED CONCLUSION



Presenting a comprehensive schedule of the planned sequence of events for your project enables your potential donors to see the end of the campaign, even if it is a few years away, and creates the realism of the campaign.

5. YOUR PASSION



While this component has been listed last, it is truly the most important: Your passion, care, and belief in your project will be contagious and become the driving force behind the campaign.

Once you have all or at least most of these items in place you are very likely to obtain a major gift for a capital campaign.

► THE FORMULA

Now let's take a look at a recent true case and see how to use the five above items as a formula to obtain a major gift without a capital campaign.

A seasoned shliach for more than three decades realized that it was time to add another shliach to his Chabad House team. We changed the order of the above items and defined each one in preparation for a presentation to three potential donors.

1. ENVISIONED IMPACT

- ☑ A new shliach and shlucha will bring fresh energy and life into the community.
- ☑ A new shliach and shlucha will focus 100 percent of their time on programming and outreach, unlike the current shliach who spends a great deal of his time on administration and fundraising. Specifically, they will reach out to the younger families within the community.
- ☑ A new shliach and shlucha will grow current programs and activities, such as Hebrew school, Camp Gan Israel, JLI, and more.
- ☑ A new shliach and shlucha will create new programs and activities, such as CKids and CTeen.
- ☑ A new shliach and shlucha will enable the seasoned shliach to focus more of his time on deepening his relationships with people and creating relationships with new people, thus enabling him to raise a lot more money for the organization and bringing a new level of financial stability to his Chabad House.

2. TANGIBLE GOAL

All of the above goals are very tangible and focused.

3. URGENCY

A summer arrival due date was created so that the shliach and shlucha would be able to start the cycle of their programs and activities at the beginning of the school year.

4. SCHEDULED CONCLUSION

A projected list of the costs to fully support the new shliach for two years was drawn up. Then the shliach delineated steps he would take to achieve a new level of fundraising in order to continue supporting the shliach and shlucha thereafter, as well as to bring in additional funds. He also projected the additional traffic to be generated by the new shliach and shlucha, which he hoped would increase revenue for the Chabad House in the form of tuition, program fees, and new donors.

5. PASSION

Since the seasoned shliach was so full of passion about this project and convinced about its success, he was able to relay that excitement and conviction to the potential donors.

The outcome?

One donor pledged \$75,000.

One donor pledged \$65,000.

One donor pledged \$10,000.

This project took one year to accomplish from start to finish—from my initial conversations with the shliach to the month when he received the commitments.

The pledges of these three donors were above and beyond their annual gifts. None of the donors received anything other than the knowledge that their gift would have an everlasting positive impact on the community for years to come.

Of course, as the new shliach and shlucha begin their work, these donors were presented with “impact reports” that shared the positive impact they were having, as well as the financial growth the seasoned shliach was facilitating.

This case is but one example of how to work on obtaining a major gift without associating it with a capital campaign.



Now think of what you could do if you succeeded in securing an additional \$150,000. You could hire a new shliach and shlucha to open a Friendship Circle, expand your youth programs or adult education programs, create a presence on your nearby campus, or fill another need in your community.

Hopefully by now you are beginning to be convinced that obtaining a major gift should be an immediate goal of yours, even if it will take some time for Hashem's blessings to bring forth the desired results.

► FIRST STEPS

So, how to begin?

The first and most important item is to decide what it is that will make a very serious impact on your community. This decision is not to be taken lightly. It needs to be very well thought out, discussed with the shlucha, some baalei batim, and perhaps the head shliach. You must make sure it flows with the general vision of your organization and is something your baalei batim can and will identify with.

Once you have determined the general direction of this project, you need to put it in writing

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and create a bulleted list of what it will do for your community. Present the impact in the most powerful, meaningful, and convincing manner; this is key to obtaining a major gift. You also need to create an honest and realistic itemized budget for this project.

Next, review your list of donors and identify several potential donors who may be candidates for a major gift.

Once you have identified several—not more than a handful—potential major gift donors, you need to create a very specific plan for each one that will help you cultivate them one step at a time until you feel they are ready to be asked to give a major gift. This plan must be custom-designed for each potential donor and is definitely not a one-size-fits-all.

For one baal habos, one of the steps might be weekly one-on-one learning, for another baal habos the steps might include shmoozing over coffee or visiting him to put on tefillin or taking him to the Ohel or inviting him for a Shabbos meal. The important point to remember is that it is not just one step but a series of steps taken one at a time. And hopefully taking all of those steps will bring the baal habos to the point where when asked he will accept.

► HEALTHY HABITS

Chassidus demonstrates the connection between the highest of the high and the lowest of the low. Similarly, the rate of success in securing major gifts is almost always hinged upon the most basic infrastructure habits. The following habits, among others, are key to running a healthy and professional organization and are a prerequisite to obtaining a major gift:

- ☑ Sending a thank you letter and receipt for every gift within 24 hours of the donation. A nice, meaningful standard thank you letter suffices for lower level gifts—it's more important that it be sent out on time.
- ☑ Sending a personalized follow-up thank you letter within 24 hours of every solicitation meeting with a potential donor, regardless of the outcome. (Think of the meetings like the

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bricks of your building and the professionalism and cultivation like the cement.)

☑ Data entry of both income and expenses are properly recorded. Kiddush sponsorships, calendar ads, and Hebrew school tuition are listed as such, not as general donations. Similarly, food purchases for the kiddush are not listed as “groceries” and Hebrew school supplies are not called “office expenses.” At the end of the year you need to be able to pull up a report that clearly demonstrates how the money was spent.

☑ Your salary and that of your staff and the other shluchim working with you are paid under the guidance and direction of your certified accountant, and there is a clear understanding of what is classified as parsonage, tuition, and the like.

☑ Transparency, or what we call “disclosure and accountability,” is the norm of your organization; you have nothing to hide.

☑ People leaving messages receive a call in return within 24 hours.

☑ Mezuzos and tefillin taken to be checked are returned when you said they would be returned. If a natural disaster occurs and are unable to keep your word, a call is made and an apology and explanation are given.

☑ If there are several shluchim or general staff members within the organization, there is a very clear job description for each shliach and each worker, so every person knows who is responsible for what and can respect the positions of the others.

☑ Last, but not least at all, your business is done with integrity. This point deserves an article of its own because major donors have reported it to be *the* primary motivation to their donations and is therefore the most crucial component to all fundraising.

If (all) the above items are not fully in place you will have a (very) hard time attracting major donors to your organization, be it through a capital campaign or major gift.

Some of the above items are more challenging to accomplish than others, but every shliach should strive to achieve them even if this may take a long time to do. By moving in this direction, you are already getting closer to where you want to be and where you should and can be.

► YES, YOU CAN

While fundraising is not a science but rather an art, it is an art that you can and should learn. Since hashgachah pratis has put you in a position that requires you to raise money, this alone is a reason to convince yourself of the importance of accepting fundraising as a serious part of your shlichus, which it is, and doing the best you can to become better and better at it.

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Shluchim often tell me that they are not meant to or not able to do fundraising. After discussing this with them a little more at length it turns out that the reason they don't feel confident fundraising is because they simply don't know what fundraising is all about. If they did, they'd be far more successful at it.

Fundraising is about enabling people to be part of your vision. But to get there you must have the following:

- ☑ Clarity in your vision—and the ability to present it attractively and concisely
- ☑ Actionable short term goals that will help you realize the vision
- ☑ Passion and belief in the feasibility, purpose, and impact of the vision
- ☑ Clearly projected annual budget that demonstrates how the funds will bring your vision to the community
- ☑ A healthy infrastructure (as detailed at length above)
- ☑ Integrity
- ☑ And more

All of the above items can only be obtained if you are willing to commit to yourself to make them happen and you begin working one step at a time to get to the highest levels of fundraising possible. But remember, the commitment is to the process and not to perfection. 🇮🇱